Shares

When individuals invest in shares, they are buying "a share" of a business, meaning that they have part ownership of that company. Shares can be bought and sold, and their price can go up or down.

How it works

Companies issue shares (or equities) to raise money. Investors buy shares in a business because they believe the company will do well and they want to share in its success.

It is not necessary for a company to be listed on the stock market for it to issue shares. Some start-ups raise money from a small number of outside investors, who are given a share of the company in return.

When a company wants to raise money more widely, it can apply to become publicly listed – or quoted – on a stock exchange, such as the London Stock Exchange. The company will need to go through an approval process in order to be listed. Once listed, the company's shares are described as "quoted" because their prices are quoted daily on the stock exchange. Trading in shares is executed by stockbrokers, who buy and sell shares on behalf of investors.

Shareholders are entitled to a say in the running of the business in which they own shares: for example, they can vote on directors' appointments and their pay packages.

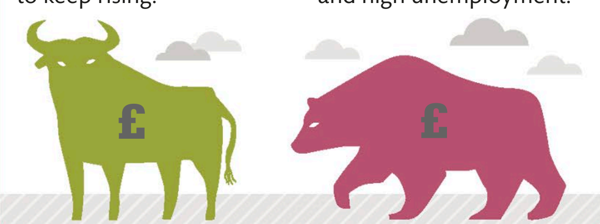
BULL AND BEAR MARKETS

Bull market

Several months or years of rising stock prices, along with high sales volumes and a generally strong economy. Investors are optimistic, and buy stocks expecting the price to keep rising.

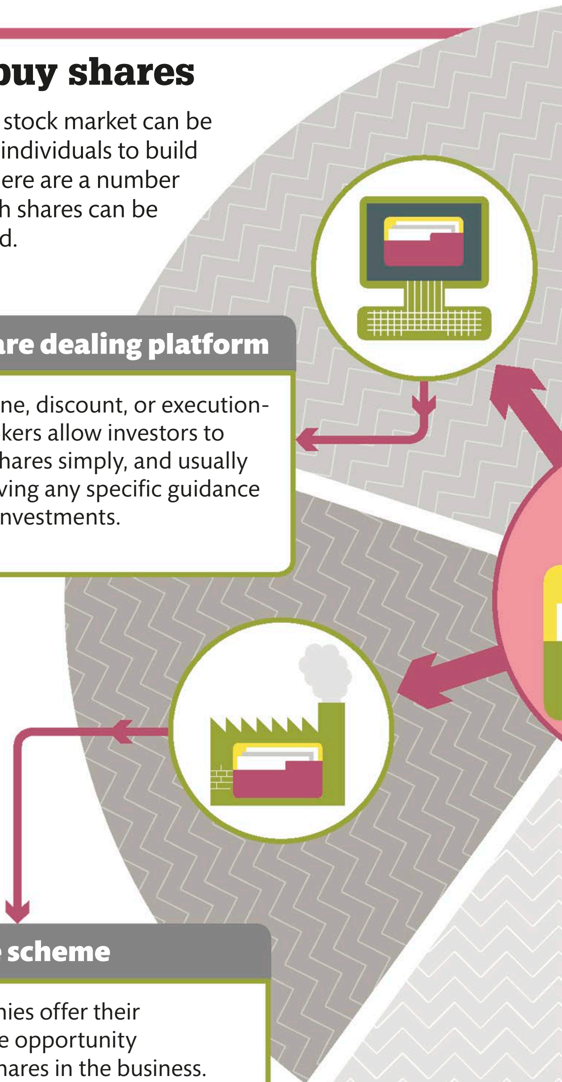
Bear market

A general decline in the stock market over a period of time, with falling prices, stagnant sales volumes, and little optimism. This leads to a weak economy, falling business profits, and high unemployment.



How to buy shares

Investing in the stock market can be a good way for individuals to build their wealth. There are a number of ways in which shares can be bought and held.



Online share dealing platform

Low-cost online, discount, or execution-only stockbrokers allow investors to buy and sell shares simply, and usually without receiving any specific guidance or advice on investments.

Sharesave scheme

Some companies offer their employees the opportunity to purchase shares in the business. The shares might be offered at a discount to the market price, and are often paid for via deductions from employees' monthly salaries.